

manding premium valuations, and investors have shown a strong appetite for new public offerings. Together, they are providing hospital operators capital to expand. The Nifty Healthcare Index, which tracks companies across pharmaceuticals, hospitals and diagnostics, has gained about 90% in the past five years, compared with a 53% rise in the Nifty 50. Hospital companies have been among the biggest wealth creators during this period, with Artemis Medicare Services delivering a 640% return, followed by Aster DM Quality Care (400%), Indraprastha Medical Corporation (342%), Narayana Health (317%), Max Healthcare (304%) and Apollo Hospitals (116%). The strong listing day gains of Manipal Health Enterprises—it opened 11% higher than the issue price—reflects that confidence.

Listed hospital operators continue to report healthy revenue growth, improving margins and stable occupancy. According to EY-Parthenon, hospitals remained the primary growth engine within the healthcare sector in FY26, with major operators reporting revenue and EBITDA growth of more than 15%, supported by steady occupancy and high-acuity specialties such as cardiology and oncology.

“We are witnessing a structural shift with players focusing on disciplined expansion, strategic partnerships and selective acquisitions. Coupled with strong investor interest and a robust pipeline of public market activity, the healthcare sector remains well-positioned for sustained growth,” says Kaivaan Movdawalla, National Healthcare Leader, EY-Parthenon India.

Private equity investors continue to be optimistic. “Deal activity in healthcare remains buoyant. The trend of PE-backed strategic buyouts in the hospital segment has strengthened as investors look to build regional clusters. As sector consolidation accelerates and balance sheets improve, transaction momentum is expected to sustain through FY27,” says Amit Gupta, Partner, Healthcare and Life Sciences Investment Banking, EY India.



“Three factors will drive our growth—increasing occupancy from the current 65%, adding new beds and unlocking the potential of Sahyadri Hospitals”

DILIP JOSE

MANAGING DIRECTOR AND
CEO, MANIPAL HEALTH



“The next phase of health financing must move beyond expanding insurance coverage to ensuring that reimbursement supports quality care”

DR ASHOK SETH

CHAIRMAN,
FORTIS ESCORTS
HEART INSTITUTE

THE RACE FOR TALENT

While India's leading hospital chains are investing billions to expand capacity, finding experienced doctors, nurses and allied healthcare professionals remains a challenge. India, though, has made progress in expanding medical education over the past decade. The number of medical colleges has doubled, and MBBS seats have crossed 136,000 across 823 medical colleges, according to the National Medical Commission.

“Hospital infrastructure can be built in three-four years but it takes years of training to develop experienced oncologists, intensivists, cardiac surgeons, anaesthetists and critical care nurses. The industry's ability to sustain expansion will depend as much on human capital as on financial capital,” says Arup Mitra, Professor of Economics at South Asian University (SAU) in New Delhi.

“Demand for diagnostic and therapeutic services is rising rapidly, with pathology test volumes expected to double between 2022 and 2027, and radiology imaging volumes projected to grow by nearly 90%. To meet this demand, India will require an additional three-four million allied healthcare professionals over the next five years,” he says.

“Talent acquisition is one of the most critical priorities in healthcare today, especially with increasing demand for experienced clinicians and specialists,” says Arora of Yashoda Medicity.

Private hospital chains are adding thousands of beds across the country. Evidence on whether those investments are translating into consistently better clinical care remains limited.

India's principal hospital accreditation body, the National Accreditation Board for Hospitals & Healthcare Providers (NABH), accredits both public and private hospitals; some also hold Joint Commission International accreditation, an internationally recognised quality benchmark. Accredited facilities account for a small share of capacity. That share is even smaller in Tier-II and Tier-III markets where private hospital chains are expanding most aggressively.